IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an application for mandates in the nature of Writs of Prohibition, and Mandamus in terms of Article 140 of the Constitution

CA Application No. WRT 1081/2025
WRT 1115/2025
WRT 1126/2025
WRT 1144/2025

1. K. Malmi Bashini Wijekoon,
   Attorney holder of D. A. Ravi Indika Dasanayaka carrying a sole proprietorship under the name, style and firm of Chithila Enterprises,
   No:76/01,
   Sirisangabo Mawatha,
   Ellakkala.

2. Y.L.Pradeep Nishantha,
   Bankada Junction,
   Katuneriya.

3. K.Chitra Malkanthi Perera
   No:86/B, Rekha,
   Pokunuwita.

PETITIONERS

Vs.

1. Hon. Anura Kumara Dissanayake,
   Hon. President cum Minister of Finance, Planning and Economic Development,

Ministry of Finance, Planning and Economic Development,
The Secretariat,
Colombo 01.

2. Dr. Harshana Sooriyaperuma,
Secretary to the Ministry of Finance, Planning and Economic Development and Secretary to the Treasury,
Ministry of Finance, Planning and Economic Development,
The Secretariat,
Colombo 01.

3. Seevali Arukgoda,
Director General of Customs,
Sri Lanka Customs,
Customs House,
Customs Headquarters,
No:40, Main Street,
Colombo 11.

4. T. Loganathan,
Additional Director General of Customs (Revenue & Services)
Sri Lanka Customs,
Customs House,
Customs Headquarters,
No:40, Main Street,
Colombo 11.

5. T.T.Upulmali Premathilake
Controller General of Import & Export,
Import and Export Control Department,

1st Floor,
Hemas Building,
Sir Marcus Fernando Mawatha,
Colombo 01.

6. Central Bank of Sri Lanka
Janadhipathi Mawatha,
Colombo 01.

7. Hon. Attorney General,
Attorney General's Department,
Colombo 12.

8. Seylan Bank Plc,
Seylan Towers, No:90,
Galle Road,
Colombo 3.

9. Sampath Bank Plc,
P.O.Box 997, No:110,
Sir James Peiris Mawatha,
Colombo 02.

10. Commercial Bank of Ceylon Plc,
Import Department, No:21,
Sir Razik Fareed Mawatha, Colombo 1.

11. Sri Lanka Ports Authority,
No:19, Chaithiya Road,
Colombo 01.

<u>RESPONDENTS</u>

Before : **Hon. Rohantha Abeysuriya PC, J.(P/CA)**
: **Hon. K. Priyantha Fernando, J. (CA)**

Counsel	:	K. Deekiriwewa with Dr. M.K. Herath, Dr. Kanchana Silva Wijerathna Bandara for the Petitioner. Chaya Sri Nammuni, DSG with Rajika Aluwihare, SC For the State.
Written Submissions on	:	29.12.2025 for the 1st – 5th Respondents 30.12.2025 for the Petitioner.
Supported on	:	16.12.2025
Decided on	:	26.05.2026

K. Priyantha Fernando, J. (CA)

1. The Petitioners by filing amended petition dated 17th November 2025, invoked the jurisdiction of this Court under and in terms of Article 140 of the Constitution of the Democratic Socialist Republic of Sri Lanka primarily seeking the following main reliefs in the **nature of writs of**:

    - *Certiorari* to quash the impugned "signed draft non-gazetted Regulation till 13.11.2025" and subsequent belatedly published antedated corresponding Gazetted Regulation bearing No. 2459/46 dated 24.10.2025 (X74) made by the 1st Respondent;

    - *Prohibition*, prohibiting the 1st to 3rd Respondents from invoking and applying that X74 to the vehicles imported and Letters of Credit opened from 1st February 2025 to 24th October 2025;

    - *Prohibition* prohibiting the 1st to 5th Respondents from not allowing the Petitioners to clear the vehicles that had been duly imported through a Cross-border LC;

- *Mandamus* directing the 3rd and 4th Respondents to release the corporate/personal guarantee that will be tendered provisionally at the time of clearing of the vehicles from Sri Lanka Customs at the final determination of the case:

- *Mandamus* directing the 1st to 3rd and 11th Respondents to grant a demurrage waiver in respect of the above vehicles.

2. Further, the Petitioners have sought following interim reliefs; staying the operation of the impugned gazettes; permission to immediately clear the vehicles upon tender of a corporate or personal guarantee to the CIF value declared in the commercial invoice or to the Customs value determined under section 167 of the Customs Ordinance and the values claimed by the SLPA (Sri Lanka Ports Authority) for occupying the premises.

<u>FACTUAL MATRIX:</u>

3. The 1st Petitioner in the case bearing number CA/WRT/1081/2025 is the power of attorney holder of D. A. Ravi Indika Dasanayaka who is engaged in business through a sole proprietorship bearing the name, '*Chithila Enterprises*'. The enterprise is primarily engaged in the importation of motor vehicles. The 2nd and 3rd Petitioners of the same case are individuals who imported a motor vehicle for their personal use. The Petitioners in the 3 remaining connected matters (namely CA/WRT/1144/2025, CA/WRT/1115/2025 and CA/WRT/1126/2025) are also individuals who have purchased motor vehicles for their personal use.

4. The imported motor vehicles were later refused to permit clearance and be released. This refusal to allow the clearance was based on the fact that the importation had been carried out in violation of Extraordinary Gazetted No. 1804/17 dated 03.04.2013, as subsequently amended by Extraordinary Gazette No. 2428/07 dated 19.03.2025.

POSITION OF THE PETITIONERS:

5. The Petitioners argued that the importation of motor vehicles by means of Cross Border Letters of Credit (LCs) under UCP 600 has, for more than two decades, been conducted in conformity with the requirements set out in subordinate gazetted regulations made under the Imports and Exports Control Act No. 1 of 1969 (namely the gazetted regulations; Gazette No.1454/30 dated 21.07.2006, later repealed by Gazette No.1804/17 dated 03.04.2013, and amended by Gazette No.2428 dated 19.03.2025 [marked 'X4']).

6. The Petitioners, relying on these long-standing practices and the statutory framework, contended that neither the Central Bank nor the Customs had lawfully prohibited the opening of Cross Border LCs, and that the Respondents had tacitly accepted and encouraged such transactions in practice. The Petitioners further argued that the 5th Respondent's Operational Instruction 06/2025 dated 20.05.2025 (marked 'X4A') unlawfully diluted the statutory and regulatory requirements.

7. The Petitioners further stated that **nowhere in the X4 gazettes is there a requirement that the port of loading and the country of export must be the same.** Rather, X4 merely requires that the corresponding bank in the country of export place a stamp showing that documents were routed through that corresponding bank, and that the shipper must ensure mandatory export documents are handed to the corresponding bank in the country of export.

8. The Petitioners contended that the Respondents' subordinate officers have advanced an unsustainable interpretation that port of loading and country of export must coincide, thereby destroying otherwise lawful transactions.

9. The Petitioners stated that, in the ordinary course of business, local banks opened LCs for the Petitioners on the basis of proforma invoices and the established practice permitting Cross Border LCs upon arrival of the vehicles and submission of import documents the CusDec was lodged but Customs thereafter refused to process the entries and verbally declared that Cross Border LCs would not be permitted to be cleared, without lawful authority. The Petitioners argued that such refusals and restrictions are beyond the jurisdiction of Customs and that Cross Border LCs fall within the exclusive regulatory domain of the Central Bank.

10. The Petitioners contended that officials of Sri Lanka Customs, the Import & Export Control Department and the Ministry of Finance have misused and abused their statutory powers, and that any exercise of power beyond authority is a nullity.

11. Invoking the doctrines of estoppel, estoppel by acquiescence, and legitimate expectation, the Petitioner argued that the Respondents, by words and conduct over a period exceeding two decades, induced the Petitioner's reliance and are thereby estopped from denying the legality of Cross Border LCs; the State and its officials cannot turn their back on assurances or established practice which engendered legitimate expectations.

12. The Petitioners relied on a prior opinion of the Attorney General opinion dated 05.10.2000 which advised release of vehicles in analogous circumstances and urged the Court to direct production of that opinion under Section 66 of the Evidence Ordinance.

13. The Petitioners challenged the validity and legality of a "signed draft non gazetted Regulation till 13.11.2025" said to have come into effect from 24.10.2025 and later belatedly published as Gazette No.2459/46 dated 24.10.2025 (marked 'X7' and 'X7A'). The Petitioner stated that the impugned instrument was not gazetted until 13.11.2025 and that the instrument was antedated and retrospective in effect.

14. The Petitioners contended that retrospective subordinate legislation is impermissible absent express parliamentary authority and thus that the impugned regulation is *ultra vires* against the Imports and Exports Control Act No. 1 of 1969 and that it creates uncertainty and contingent obligations seeking to impose charges or tariffs without statutory authority. The Petitioners further argued that the 2nd Respondent, the Secretary to the Ministry of Finance lacked statutory power to formulate the proposition embodied in the impugned instrument and that the 1st Respondent's purported promulgation constituted an abuse of executive power.

15. The Petitioners contended that the Court of Appeal has jurisdiction under Article 140 of the Constitution to adjudicate the validity of the impugned acts and regulations, and urged the Court to exercise its supervisory jurisdiction to prevent erosion of the rule of law, to quash *ultra vires* executive acts, to prohibit their application, and to grant interim and substantive relief to avoid grave and irreparable loss. The Petitioner reserved the right to amend the petition, add

parties, and adduce further material as necessary. The Petitioner prayed that notices be issued to the Respondents and that all reliefs as pleaded be granted.

<u>THE POSITION OF THE 1ST TO 5TH RESPONDENTS</u>:

16. A series of cases were filed arising from the refusal by the Respondents to permit the clearance and release of motor vehicles imported into Sri Lanka through cross border LCs. The refusal to allow the clearance was based on the fact that the importation had been carried out in violation of the prevailing regulations promulgated under the Import and Exports (Control) Act No. 01 of 1969 as amended in particular Extraordinary Gazetted No. 1804/17 dated 03.04.2013, as subsequently amended by Extraordinary Gazette No. 2428/07 dated 19.03.2025.

17. In terms of the applicable regulatory framework, all motor vehicles imported into Sri Lanka contrary to the prevailing regulations were required to be re-exported. However, given that a significant number of importers had their motor vehicles detained at the port, accruing demurrage charges pending a final determination by this Court, the Court directed the Respondents to explore a possible mechanism by which such vehicles could be released. Consequently, numerous meetings were held and the discussions culminated in the publication of the impugned Gazette Notification, which provided importers with an option to secure the release subject to the conditions stipulated therein. Furthermore, the impugned Gazette also created a mechanism whereby Petitioners could obtain a temporary release pending the final determination of the matter.

18. Accordingly, it is reiterated that the impugned Gazette was intended either to facilitate the permanent release upon payment of the additional sum specified therein, or to enable the temporary release pending determination of the matter through furnishing of an appropriate guarantee. In particular, the impugned Gazette enabled the Petitioners to secure the temporary release by furnishing a Personal or Corporate Guarantee (rather than an irrevocable and unconditional bank guarantee) based on an express undertaking given to this Court (i) not to register the vehicle until the matter is finally determined, and (ii) to honour the said guarantee should the matter be decided in favour of the Respondents. At present, a number of vehicle importers have relied on the impugned Gazette Notification to secure the release of their vehicles.

19. It was the Respondents' position that the impugned Gazette Notification was duly published on 24.10.2025 in accordance with Section 20 read with Sections 4(1) and 14 of the Imports and Exports (Control) Act. In the circumstances, they reject the Petitioners' assertion that it was belatedly published or antedated in any manner. As evidenced by the document marked 'X' filed with the motion dated 12.12.2025, Parliament has approved the impugned Gazette in terms of Section 20(4) of the Imports and Exports (Control) Act. Notification of such Parliamentary approval was duly published by Gazette Notification dated 19.12.2025 in accordance with Section 20(7) of the said Act.

20. In the present application, the Petitioners have sought to challenge the publication of the impugned Gazette Notification by the relevant Minister. However, they have failed to challenge the subsequent and necessary decision of Parliament approving the said Gazette in terms of Section 20(4) read with Section 20(7) of the Imports and Exports (Control) Act.

21. Section 20 (7) stipulates as follows: "*Any regulation made by the Minister shall, when approved by Parliament, be as valid and effectual as if it were herein enacted. Notification of such approval shall be published in the Gazette.*"

22. As such, in terms of Section 20(7), it is the approval of the parliament which gives final legal validity to the impugned Gazette. It was contended that any challenge to the validity of the impugned Gazette Notification necessarily requires, as a preliminary and essential step, a challenge to the decision of Parliament approving that Gazette Notification in accordance with the statute. A challenge directly solely at the publication of the Notification by the Minister is misconceived and would be futile.

<u>ANALYSIS</u>:

23. The arguable question arising in this matter is "Can a regulation outside the ambit of Article 76(3) of the Constitution, and Section 20 of the Import and Export Control Act become valid by reason of the fact that Parliament subsequently approved it?".

24. *In the judgment delivered in the English case of <u>F. Hoffmann-La Roche and Co., AG and others v Secretary of State for Trade and Industry</u>* (1974) 2All E.R 1128 Lord Diplock held that a

"clear distinction can be drawn between Act of Parliament and subordinate legislation". It was held further as follows,

> *"I entertain no doubt that the Court have jurisdiction to declare it to be invalid if they are satisfied that in making it the Minister who did so acted without the legislative power conferred on him by the previous Act of parliament under which the order purported to be made; and this is so whether the order is ultra vires by reason of its contents(patent defects) or by reason of defects in the procedure followed prior to its being made (latent defect);"*

25. This principle was subsequently applied in the judgment delivered by the Court of Appeal in the case of <u>*The Attorney-General of Ceylon, Appellant and W. M. Fernando, Honorary Secretary, Galle Gymkhana Club*</u> 79 NLR 39 Sharvananda J. echoed the words of Lord Diplock as reproduced below,

> *"A clear distinction can be drawn between Act of Parliament and subordinate legislation, even though the latter is contained in an order made by a statutory instrument approved by the House of Representatives, a limb of the legislature. A Court has no jurisdiction to declare invalid an Act of Parliament,* ***but has jurisdiction to declare subordinate legislation to be invalid if it is satisfied that in making the subordinate legislation, the rule making authority has acted outside the legislative powers conferred on it by the Act of Parliament*** *under which such legislation is purported to be made. Such subordinate resolution may be ultra vires by reason of its contents or by reason of procedural defects*." (emphasis added)

26. In <u>*J.B. Textiles Industries Ltd v Minister of Finance & Planning*</u> (1981) 2 SLR 238. Justice Ranasinghe held as follows,

> *"(2) A primary Vesting Order which is an order made by the Minister of Finance under section 2(1) of the Business Undertakings (Acquisitions) Act, No. 35 of 1971, is an Order made by "a person" within the meaning of paragraph (b) of the first proviso to section 22 of the Interpretation Ordinance (Cap. 2) as amended by Act No. 18 of 1972 and approval by Parliament of such an order*

under section 2(3) of the Act, does not elevate the said order to the position of an Act of Parliament. Accordingly, the first proviso to section 22 of the Interpretation Ordinance, as amended, ***operated to make such an order amenable to review by the Courts*** *despite section 2(4) of Act, No. 35 of 1971 which provides that such an order shall be final and conclusive and shall not be called in question in any Court whether by way of writ or otherwise."*

27. Having established that the courts are vested with the authority to review subordinate legislation, it is necessary to determine the grounds on which such instruments might be challenged. It was held as follows in the case of *R (Javed) v Home Secretary* [2001] 3 WLR 323-351:

"If the exercise of power by delegated legislation should be ultra vires, i.e. beyond the powers authorized by the enabling Act, the validity of that delegated legislation can be contested in the Courts. Conversely, there is ***no principle of law which circumscribe the extent to which the courts may review a statutory instrument on the sole ground that it has been approved by both Houses.*** *The ground on which delegated legislation may be challenged in the courts are that the purported exercise of the power is unreasonable, or insufficiently certain; or that there has been procedural deficiency or irregularity".*

28. As such, and in accordance with the *dicta* held in the cases considered prior, it can be stated that a piece of subordinate legislation can be challenged on 2 main grounds. Based on:

- the contents of the legislation ('patent defect').
- whether or not the correct procedure was followed prior to its formulation ('latent defect').

29. Moreover, in terms of the direction Courts ought to take in determining the rights of parties, the judgment delivered in the case of *Weerasooriya v. Wijeweera, Director General of Customs and Others* [C.A. (Writ) 259/2014, C.A.M. 22.06.2020] by Justice Janak De Silva reiterates the trite law relating to the same. The judgment reads as follows,

"Nonetheless, it is trite law that rights of the parties must be determined as at the date of institution of proceedings or action. [Ponnammah v. Arumogam (8

N.L.R. 223 at 226), Silva v. Nona Hamine (10 N.L.R. 44), Ponnamma v. Weerasuriya (11 N.L.R. 217), Silva v. Fernando et al (15 N.L.R.499), Jamal Mohideen &Co. v. Meera Saibo et al (22 N.L.R. 268 at 272), Shariff et al v. Marikkar et 01 (27 N.L.R. 349), Eminona v. Mohideen (32 N.L.R. 145), De Silva et al v. Page 6 of 11 Goonetilleke et al (32 N.L.R. 217), De Silvo v. Edirisuriya (41 N.L.R. 457), Lenorahamy v. Abraham (43 N.L.R. 68), Kader Mohideen & Co. Ltd., v. Gany (60 N.L.R. 16), Abayadeera and 162 others v. Dr. Stanley Wijesundera, Vice Chancellor, University of Colombo and another (1983) 2 Sri. L. R. 267), Talagune v. De Livera (1997) 1 Sri. L. R. 253, Kalamazoo Industries Ltd. and others v. Minister of Labour and Vocational Training and others (1998) 1 Sri. L. R. 235, Lalwani v. Indian Overseas Bank (1998) 3 Sri. L. R. 197, Jayaratna v. Jayaratne and another (2002) 3 Sri. L. R. 331, Sithy Makeena and others v. Kuraisha and others (2006) 2 Sri. L. R. 341J.

I have previously applied this principle to applications for judicial review [Tissa Abeywickrema and Two Others v. Mayor, Badulla Municipal Council and Others (C.A. (PHC) 111/2011, C.A.M. 22.02.2019].

***Although the approval of the Cabinet of Ministers was given on 04.09.2014 (X26), this application was instituted on 04.08.2014. Hence there was no ratification of Gazette bearing no. 1857/3 dated 07.04.2014 (X17) by the time the Petitioner invoked the jurisdiction of this Court*.**" (emphasis added)

NULLITY:

30. The Petitioner made the argument that the impugned gazette was not published in the electronic form over 2 weeks later on 13.11.2025, but was antedated to reflect the gazette due date, 24.10.2025. The Petitioner contended that such conduct was incurably bad in law as it is a nullity; *Yadu Raj Singh and 2 others vs State of Rajasthan and others* delivered on 17.12.1986.

31. Furthermore, the Petitioner presented an additional layer of argument that the Minister does not have the authority under the Import and Export Control Act No. 1 of 1969 or the Customs Ordinance "to demand or impose as a charge any amount on the consignees and collect it and

reimburse to the Controller General of Imports and Exports". In doing so the Petitioner specifically refers to Article 148 and 149 of the Constitution, which read as follows:

> *"148. Parliament shall have full control over public finance.* ***.*** *No tax, rate or any other levy shall be imposed by any local authority or any other public authority, except by or under the authority of a law passed by Parliament or of any existing law.*
>
> *149. The funds of the Republic not allocated by law to specific purposes shall foam one Consolidated Fund into which shall be paid the produce of all taxes, imports, rates, and duties and all other revenue and receipts of the Republic not allocated to specific purposes."*

32. As such, it was the Petitioners contention that subordinate legislation by a Minister cannot be made if in contravention to the authority granted by the enabling principal Act, as doing so would be 'blatantly violating or infringing the above salutary Constitutional provisions'.

33. Furthermore, it ought to be noted that the Petitioners relied on the judgment of <u>*SKT Traders (Pvt) Ltd and another v Hon. Mahinda Rajapaksa and others*</u> delivered by Justice Arjuna Obeyesekere [CA/WRT/423/2020 C.A.M. 08.02.2021] which sets out two pivotal provisions of the Import and Export Control Act and its importance in determining the application at hand.

> *There are two Sections of the Act that play a pivotal role in the determination of this application, namely Section 20(3) and Section 20(4). In terms of Section 20(3) of the Act:*
>
> *'Every regulation made by the Minister shall be published in the Gazette and shall come into operation on the date of publication or on such later date as may be specified in the Regulation.'*
>
> *Section 20(4) provides that: 'Every regulation made by the Minister shall be brought before Parliament within a period of one month from the date of the publication of that regulation under subsection (3), or, if no meeting is held*

within that period, at the first meeting after the expiry of that period, by a motion that such regulation shall be approved.'

The provisions of Sections 20(3) and (4) can be summarised as follows:

a) *Every Regulation made by the Minister shall be published in the Gazette;*
b) *Such Regulations shall come into operation on the date of publication or on such later date as may be specified in the Regulation;*
c) *Such Regulation shall be brought before Parliament within a period of one month from the date of publication of that Regulation;*
d) *If however, no meeting of Parliament is held within that period, such regulation shall be brought before Parliament at the first meeting after the expiry of that period, for approval of Parliament.*

FUTILITY:

34. An order quashing the impugned gazette was held to be a necessary relief sought by a Petitioner in such a case as this, in the judgment delivered by Justice Janak De Silva in *Weerasooriya v. Wijeweera, Director General of Customs and Others* [C.A/WRT/259/2014, C.A.M. 22.06.2020] and reads as follows,

> *"The Petitioner admits that the alleged excess excise duty has been collected from the Petitioner. Yet, he has not sought a writ of certiorari quashing that decision. Instead, he has sought writs of mandamus and prohibition which relate to enforcing a statutory or public duty and prohibiting a public functionary acting ultra vires.* ***But the alleged ultra vires act has been already committed by the customs by recovering what is alleged to be excess excise duty. That decision must be quashed before directing the customs to act according to law****."*

35. Seeing as in the instant case the Petitioner has prayed for a writ of *certiorari* quashing the impugned gazette. The contention of futility raised by the Respondents fails in view of the principle of nullity which is applicable to this case.

SHOULD THE STAY ORDER PRAYED FOR BE ISSUED?

36. The judgment delivered by P. Padman Surasena J. in the case of *F Hoffmann La-Roche Ltd and Another vs National Medicine Regulatory Authority and Others* [CA/WRT/98/2016 C.A.M. 22.06.2016] is applicable in the instant matter and reads as follows:

> *"One such judgment is Duwearachchi Vs Vincent Perera. In that case this court has laid down three principles which courts should consider when they are called upon to decide the issuance or non-issuance of a stay order. These principles are as follows: (a) Will a final order be rendered nugatory if the petitioner is successful? (b) Where does the balance of convenience lie? (c) Will irreparable or irremediable mischief or injury be caused to either party?"*
>
> *"If the argument of the Learned Counsel for the petitioners that court should extend the operation of the interim relief it had granted, on the basis that the petitioners have made out a 'Prima facie sustainable case', is to be accepted, this court will have to issue interim reliefs every time it decides to issue notices on the respondents. This is because court decides to issue notices on the respondents since it is satisfied that there is a prima facie case to be looked into".*

37. As such it is the view of this Court that unless a stay order is issued in this application, the draft gazette would be applicable and the final relief sought by the Petitioners would be rendered nugatory, causing them to suffer irreparable injury pending determination by this Court. Furthermore, it is my considered view that the balance of convenience lies in favour of the Petitioner as the vehicles imported by the Petitioner are being stranded due to no fault of their own.

CONCLUSION:

38. Can a regulation outside the ambit of Article 76(3) of the Constitution, and section 20 of the Import and Export Control Act become valid by reason of the fact that Parliament subsequently approved it? With regard to the above arguable question, it is my considered view that the

Petitioners have put forward a *prima facie* case. Thus, I am inclined to issue formal notice on the Respondents.

39. The impugned Gazette enabled the Petitioners to secure the temporary release by furnishing a Personal or Corporate Guarantee (rather than an irrevocable and unconditional bank guarantee) based on an express undertaking given to this Court (i) not to register the vehicle until the matter is finally determined, and (ii) to honour the said guarantee should the matter be decided in favour of the Respondents. Subject to these conditions, the interim reliefs (h), (i) and (j) are granted.

Judge of the Court of Appeal

Hon. Rohantha Abeysuriya PC, J.(P/CA)

I agree.

President of the Court of Appeal